

21STCV44716 21STCV44716

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TENTATIVE RULING

HEARING DATE: July 15, 2026

CASE NUMBER: 21STCV44716

CASE NAME: Library Rights Company (UK) LTD v. Initial Entertainment Group, Inc.,
et al.

MOVING PARTY: Defendant/Cross-Complainant, CP
IEG Holdings LP

OPPOSING PARTY: Plaintiff/Cross-Defendant, Library
Rights Company (UK) LTD

PROCEEDING: Motion to compel further deposition

RULING SUMMARY: CP IEG's Motion to Compel Further
Deposition of Ray Reyes is denied. CP IEG's request for sanctions against Reyes
and his counsel is denied. Cross-Defendants'
request for sanctions is also denied.

Background

On December 7,
2021, Plaintiff Library Rights Company (UK) LTD. ("LRC") filed this action
against Defendants Initial Entertainment Group, Inc., GK Films, LLC, Graham
King, and GKF Distribution, LLC, Content Partners, LLC and CP IEG Holdings LP

("CP IEG") for breach of contract and accounting of gross proceeds from three films "Ali," "Gangs of New York," and "Traffic" (collectively, "Pictures").

On June 21, 2024, Plaintiff filed the operative Third Amended Complaint alleging four causes of action for (1) Breach of Contract, (2) Breach of the Implied Covenant of Good Faith and Fair Dealing, (3) Common Count, and (4) Intentional Interference with Contract. The Court notes that Defendant GFK was renamed in the TAC as GFK Distribution, LP. The Court refers to GFK Distribution LP as "GFK."

Defendant/Cross-Complainant

CP IEG filed a Cross-Complaint against LRC, Ray Reyes ("Reyes"), and Roes 1 to 10 (collectively, "Cross-Defendants"). On March 5, 2024, Cross-Complainant CP IEG filed the operative First Amended Cross-Complaint ("FACC"). The FACC asserts three causes of action for (1) Fraud, (2) Negligent Misrepresentation, and (3) Declaratory Relief.

On May 7, 2026, the deposition of LRC's representative and cross-defendant Rey Reyes took place.

On June 12, 2026, CP IEG filed the motion to compel further deposition of Rey Reyes on the grounds that Reyes repeatedly refused to answer "straightforward yes-or-no questions" during his deposition, providing evasive and non-responsive answers that constitute a misuse of the discovery process. (Mot., p. 1.) On July 1, 2026, Cross-Defendants filed their opposition. On July 8, 2026, CP IEG filed its Reply.

motion name

I. Legal Standard

Code of Civil Procedure section 2025.480, provides:

(a)

If a deponent fails to answer any question or to produce any document, electronically stored information, or tangible thing under the deponent's control that is specified in the deposition notice or a deposition subpoena, the party seeking discovery may move the court for an

order compelling that answer or production.

(b)

This motion shall be made no later than 60 days after the completion of the record of the deposition and shall be accompanied by a meet and confer declaration under Section 2016.040.

...

(i)

If the court determines that the answer or production sought is subject to discovery, it shall order that the answer be given or the production be made on the resumption of the deposition.

(Code Civ. Proc., § 2025.480.)

Code of Civil Procedure section 2025.460(e) provides:

If a deponent fails to answer any question ... the party seeking that answer or production may adjourn the deposition or complete the examination on other matters without waiving the right at a later time to move for an order compelling that answer or production under Section 2025.480.

(Code Civ. Proc., § 2025.460(e).)

II. Discussion

a.

Timeliness

Code of Civil

Procedure section 2025.480(b), provides that a motion to compel further deposition “shall be made no later than 60 days after the completion of the record of the deposition.” (Code Civ. Proc., § 2025.480(b).)

Here, the deposition took place on May 7, 2026. (Leeker Decl., ¶ 2.) The deadline for CP IEG to file a motion to

compel further deposition was July 6, 2026. CP IEG filed the instant motion on June 12, 2026. Therefore, the motion is timely under Code of Civil Procedure section 205.480(b).

b.

Meet and Confer

CP IEG filed a meet and confer declaration concurrently with the motion. CP IEG sent counsel for Cross-Defendants a meet and confer letter by email on May 14, 2026, regarding Reyes' evasive responses during the deposition on May 7, 2026. (Leeker Decl., ¶ 3, Ex. B.) CP IEG also requested a further deposition of Reyes. (Ibid.)

Counsel for

Cross-Defendants twice requested additional authorities supporting CP IEG's position. (Leeker Decl., ¶ 3, Ex. B.) On June 4, 2026, counsel for Cross-Defendants stated their refusal to make Reyes available for further deposition. (Ibid.)

CP IEG has satisfied the meet and confer requirements under Code of Civil Procedure, section 206.040.

c.

Arguments

CP IEG argues that Reyes should be ordered to appear for further deposition to provide code compliant responses to questions related to threshold issues in this action. (Mot., p. 9.)

The questions Reyes refused to answer were related to whether Reyes was telling the truth when he made a statement, or whether he had certain knowledge as to identified issues, specifically, (i) whether Reyes was being truthful when he made certain prior statements and representations; (ii) whether Reyes was aware as to whether LRC had other assets than those identified in the question, and (iii) whether Reyes could confirm that he was not representing in the 2015 Sales Presentation that LRC's alleged rights to profit participation in the three pictures at issue in this dispute were being offered for sale. ((Id., at pp. 9-10.) According to CP IEG, these questions called for a yes or no answer, which Reyes did not provide.

CP IEG further argues that Reyes' responses, which CP IEG contends were evasive, should be treated no differently than outright refusals to answer. (*Deyo v. Kilbourne* (1978) 84 Cal.App.3d 771, 783; see Code Civ. Proc., § 2023.010(f) ["Making an evasive response to interrogatory, inspection demand, or deposition question" is defined as a misuse of the discovery process.])

Cross-Defendants, in opposition, contend that Reyes provided substantive, good-faith answers to each question and that Reyes merely "declined to adopt [CP IEG]'s preferred framing and instead answered truthfully, in context, and with appropriate qualifications." (Opp., p. 1.)

Cross-Defendants argue that CP IEG is misconstruing Code of Civil Procedure, section 2025.480(a). (Opp., p. 4.) According to Cross-Defendants, a motion to compel on these grounds is meant to address a deponent's refusal or failure to answer, not to police the form of answers given. (See *Trail v. Cornwell* (1984) 161 Cal.App.3d 477, 486 [There is no basis to grant motion to compel where deponent did not "fail[] or refuse[]" to answer questions].)

Cross-Defendants also cite Evidence Code section 766, arguing it provides that if a question cannot fairly be answered with a simple "yes" or "no," the witness is entitled to provide a complete and accurate answer, which may necessarily be a narrative. (Opp., p. 4.) However, statute does not so provide; it states that "[a] witness must give responsive answers to questions, and answers that are not responsive shall be stricken on motion from any party." (Evid. Code, § 766.)

Cross-Defendants further argue that under Code of Civil Procedure section 2025.290(a), a deposition is limited to seven hours of testimony. (Opp., 4.) Cross-Defendants admit that CP IEG did not exhaust all seven hours at the May 7, 2026 deposition but counsel for CP IEG stated he had "no further questions" at the conclusion of the deposition. (*Ibid.*) However, California law does not require the deposing party to reserve their right to further deposition before concluding the original deposition. The statute simply provides that if a deponent fails to answer any question during a deposition, the party seeking discovery may move the court for an order compelling that answer, provided the motion is made no later than 60 days after completion of the deposition record. (Code Civ. Proc., § 2025.480.)

In Reply, CP IEG argues that the deposition questions posed to Reyes did not require elaboration. (Reply, p. 3.) CP IEG contends that the questions were propounded for the sole, legitimate purpose of receiving clear, unambiguous answers to critical questions concerning the 2015 Sales Presentation, which is a key issue in the instant action. (Ibid.)

As there is contention as to the adequacy of Reyes' responses to four specific questions, the Court shall evaluate each question and Reyes' responses to determine if they are indeed evasive or should be otherwise treated as a failure to answer.

d.

Questions at Issue:

1)

"Was it your intention to communicate truthful information to all the prospective investors under this 2015 sales presentation for LRC?" (Leeker Decl., Ex. A., pp. 312:21-318:16.)

Reyes responded to Question 1 with a narrative. CP IEG rephrased the question two more times before indicating that Reyes' responses were non-responsive and should be stricken. While a large portion of Reyes' responses were narrative and non-responsive, Reyes more directly answered the question with the following responses:

My intention was to give the prospective buyer information regarding the prospective acquisition that was being offered to them.

(Leeker Decl. Ex. A, pp. 315:10-12.)

I gave them information about a complicated asset and it gave them basic information that they would have to go and verify on their own.

(Id., pp. 315:24-25.)

The Court determines that Reyes did not refuse to answer, even if the answer included additional narrative. Reyes sufficiently answered the question

posed, and the motion is denied as to Question 1.

2)

“Is it correct that your intent in revising these boxes on page 9 was to communicate truthful information?” (Leeker Decl., Ex. A., pp. 402:18-403:20.)

Reyes responded to Question 2 with a narrative, but within it were the following statements that do address the question posed:

My intent in the edits that I made in the draft sales presentation were—was to make the presentation better, to make it seem like a more attractive opportunity that a prospective buyer might want to come and take a look at.

(Leeker Decl. Ex. A, pp. 402:22-25.)

[W]hat I put in here and my comments were meant to introduce information regarding and characterize the events that happened over the course of this timeline . . . it is not a complete statement and it is not intended to be a full statement.

(Id., pp. 403:7-14.)

Upon reviewing Reyes' responses, the Court finds that Reyes did not refuse to answer, even if the answer included additional narrative. Reyes sufficiently answered the question posed, and the motion is denied as to Question 2.

3)

“So is it correct your testimony is that you cannot testify today as to whether you have knowledge that LRC owns assets of Intermedia other than the 80 film titles, the 59 development titles, the three pictures that are the subject of this lawsuit -- ALI, TRAFFIC and GANGS OF NEW YORK -- or the project IF ONLY? That's correct, you can't answer that question as to whether it owns those -- any other film titles?” (Leeker Decl., Ex. A., pp. 373:6-374:9.)

Reyes responds to Question 3 by arguing that he is being “pigeonholed” into a particular response. (Leeker Decl., Ex. A., p. 373:16-19.) Specifically, he states that “[he]’s not aware of anything else. [He] may be aware. [He] may – it may have assets.” (Leeker Decl., Ex. A, pp. 373:16-19.) When the question is posed again by CP IEG, Reyes further states that he cannot answer the question and then ultimately refuses to answer. (Id., pp. 373:24, 374:9.)

Upon reviewing Reyes’ responses, the Court finds that Reyes provide a responsive substantive response to the Question 3, even if the answer was he was not aware. Based on his testimony, Reyes’ statement refusing to answer appears to have been in frustration after already stating he was not aware. Reyes sufficiently answered the question posed and the motion is denied as to Question 3.

4)

“But you did not state in any way that those four movies were part of the Intermedia library that was being offered for sale at this time, correct?” (Leeker Decl., Ex. A., pp. 393:24-397:20.)

Reyes again responds with an explanation that he cannot properly answer the question in the way it was posed by CP IEG. (Leeker Decl., Ex. A., p. 394:3-10.) CP IEG rephrased the question several times, which elicited the following responses from Reyes:

It’s just meant to highlight the quality of film that . . . Intermedia in its heyday were involved in.

(Leeker Decl., Ex. A, pp. 393:10-12.)

I was—yes. I wanted to point out that a one-time subsidiary of Intermedia—IEG— produced some quality work.

(Id., pp. 393:21-23.)

[A]t the time this 2015 sales presentation was prepared, I wasn’t aware of the participation interests that we’re discussing.

(Id., pp. 394:21-23.)

[T]his is not a complete statement of the rights that were being offered by LRC in the sale.

(Id., pp. 396:19-21.)

Upon reviewing

Reyes' responses, the Court finds that Reyes did not refuse to answer, even if his responses were not as direct as desired by CP IEG. Reyes sufficiently answered the question posed, and the motion is denied as to Question 4.

e.

Sanctions

Code of Civil Procedure section 2025.480(j) requires that the court impose monetary sanctions against any party or attorney who unsuccessfully opposes a motion to compel further deposition testimony, unless the court finds that the opposing party acted with substantial justification or that other circumstances make the imposition of sanctions unjust. (Code Civ. Proc., § 2025.480(j).)

Both parties request sanctions against the other under Code of Civil Procedure, section 2025.480(j).

CP IEG requests sanctions in the amount of \$9,000 against Reyes and his counsel. (Mot., p. 11.) Cross-Defendants request sanctions against CP IEG but requests the amount be established by declaration. (Opp., p. 12.)

The Court denies both requests for sanctions. The dispute over whether Reyes' responses were sufficient or whether further responses should be compelled was a good faith dispute as to which neither side acted without substantial justification or otherwise engaged in discovery abuse.

Conclusion

CP

IEG's Motion to Compel Further Deposition of Ray Reyes is denied. CP IEG's request for sanctions against Reyes and his counsel under Code of Civil Procedure, section 2025.480(j) is denied. LRC and Ray Reyes' request for sanctions

against CP IEG under Code of Civil Procedure, section 2025.480(j) is denied.

Date: July
15, 2026

William
E. Weinberger

Judge,
Los Angeles Superior Court